

AKUAPEM RURAL BANK PLC



CUSTOMER IDENTIFICATION POLICY

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1.0 INTRODUCTION

Identification is an act of establishing who a person says he/she is. Customer identification entails the gathering of information on the prospective customer to enable identification. In the context of KYC it means establishing who a person purports to be and will involve verifying his/ her identities by using independent source documents, data or information. For this purpose, the bank would obtain sufficient information necessary to establish to its satisfaction, the identity of each new customer, whether regular or occasional, and the purpose of the intended nature of the banking relationship.

2.0 PROCEDURES

- 2.1 Identity as set out in the National Identity Register Act, 2008 (Act 750), its Regulations and the Bank of Ghana notice on the use of the Ghana card as the sole identifier is a set of attributes such as name(s), date of birth, residential address including the GPS code and digital address, biometric data and other information of the customer. These are features which are unique and identify a customer.
- 2.2 In the case of a natural person, name(s), date of birth, residential address including the GPS code and digital address, biometric data and other information of the customer. These are features which are unique and identify a customer.
- 2.3 Where an international passport, national identity card, or any other acceptable identification is taken as evidence of identity, the number, date and place/country of issue (as well as expiry date where applicable) shall be recorded.
- 2.4 The identity of a customer who is a legal person is a combination of its constitution, its business and its legal and ownership structure.
- 2.5 The general principles for establishing the identity of both legal and natural persons and the procedures on obtaining satisfactory identification evidence set out in the Guideline are by no means exhaustive.
- 2.6 The customer identification process shall not end at the point of establishing the relationship but continue as far as the business relationship subsists. The process of confirming and updating identity and address, and the extent of obtaining additional KYC information collected will however differ from one type of business being undertaken by the customer to another.

3.0 WHEN MUST IDENTITY BE VERIFIED

Identity shall be verified whenever a business relationship is to be established, on account opening or during one-off transaction or when series of linked transactions take place. “Transaction” in the Guideline is defined to include the giving of advice. The “advice” here does not apply to when information is provided about the availability of products or services nor applies to when a first interview/discussion prior to establishing a relationship takes place.

- 3.1 Once identification procedures have been satisfactorily completed and the business relationship established, as long as contact or activity is maintained and records concerning that customer are complete and kept, no further evidence of identity is needed when another transaction or activity is subsequently undertaken.

4.0 WHOSE IDENTITY MUST BE VERIFIED

- 4.1 Clients - sufficient evidence of the identity shall be obtained to ascertain that the client is the very person he/she claims to be.
- 4.2 The person acting on behalf of another - The obligation is to obtain sufficient evidence of identities of the two persons involved. In consortium lending, the lead manager/agent shall supply a confirmation letter as evidence that he has obtained the required identity. This rule is however, subject to some exceptions;
- 4.3 There is no obligation to look beyond the client where:
 - 4.3.1 the agent is acting on its own account (rather than for a specific client or group of clients)
 - 4.3.2 the client is a bank, broker, fund manager or other regulated financial institutions; and
 - 4.3.3 All the businesses are to be undertaken in the name of a regulated financial institution.
- 4.4 In other circumstances, unless the client is a regulated financial institution acting as agent on behalf of one or more underlying clients within Ghana, and has given written assurance that it has obtained the recorded-evidence of identity to the required standards, identification evidence shall be verified for:
 - 4.4.1 the named account holder/person in whose name an investment is registered;
 - 4.4.2 any principal beneficial owner of funds being invested who is not the account holder or named investor;

- 4.4.3 the principal controller(s) of an account or business relationship (i.e. those who regularly provide instructions); and
- 4.4.4 any intermediate parties (e.g. where an account is managed or owned by an intermediary).
- 4.5 The bank shall take appropriate steps to identify directors and all the signatories to an account.
- 4.6 Joint applicants/account holders - identification evidence shall be obtained for all the account holders.
- 4.7 For higher risk business undertaken for private companies (i.e. those not listed on the stock exchange) sufficient evidence of identity and address shall be verified in respect of:
 - 4.7.1 The principal underlying beneficial owner(s) of the company with 10% interest and above; and
 - 4.7.2 Persons with controlling interest in the company.
- 4.8 The bank shall be alert to circumstances that might indicate any significant changes in the nature of the business or its ownership and make enquiries accordingly and to observe the additional provisions for Higher Risk Categories of Customers as provided in the Guideline. In the case of PEPs, criteria set out in the Bank of Ghana and Financial Intelligence Centre shall be used. PEPs shall include person who are or have been trusted with a prominent functions by international organization as well.

Examples of PEPs include but are not limited to;

- i. Heads of State or Government;
- ii. Ministers of State;
- iii. Members of Parliament (both local or foreign);
- iv. Politicians (including High ranking political party officials);
- v. Ministries, Department and Agencies (MDAs);
- vi. Metropolitans, Municipals and District Assemblies (MMDAs) and other public institutions;
- vii. High ranking political party officials (National, Regional, District and Constituency Executives etc.);
- viii. Legal entity belonging to a PEP;
- ix. Senior public officials;
- x. Senior Judicial officials;
- xi. Senior Security officials appointed by Head of State or Government;
- xii. Chief executives and Board Members of state-owned companies/corporations (both local and foreign);

- xiii. Family members or close associates of PEPs; and
- xiv. Traditional Rulers.

- 4.9 Trusts – the bank shall obtain and verify the identity of those providing funds for the trust. They include the settlor and those who are authorized to invest, transfer funds or make decisions on behalf of the trust such as the principal trustees and controllers who have power to remove the Trustees.

5.0 ESTABLISHING IDENTITY

The customer identification process shall not end at the point of establishing the relationship but continue as far as the business relationship subsists.

Establishing identity under the Guideline is divided into 2 broad categories:

- i. individual customers
- ii. Non-Individual customers

5.1 INDIVIDUALS

- a. General Information
- b. The following information is to be established and independently validated for all private individuals whose identities need to be verified:
 - i. the full name(s) used; and
 - ii. the digital address, the permanent home address, including landmarks and postcode, where available.
 - iii. nature of the business that their customer intends to undertake, including the expected or predictable pattern of transactions;
 - iv. ii. purpose and reason for opening the account or establishing the relationship;
 - v. iii. nature of the activity that is to be undertaken;
 - vi. iv. expected origin of the funds to be used during the relationship; and
 - vii. v. details of occupation/employment/business activities and sources of wealth or funds (income).

- c. The information obtained should provide satisfaction that a person of that name exists at the address given and that the applicant is that person. Where an applicant has recently relocated, the previous address should be validated.
- d. It is important to obtain the date of birth as it may be required to confirm identity. However, the information need not be verified. It is also important for the residence/nationality of a customer to be ascertained to assist risk assessment procedures.
- e. A risk-based approach shall be adopted when obtaining satisfactory evidence of identity. The extent and number of checks can vary depending on the perceived risk of the service or business sought and whether the application is made in person or through a remote medium such as telephone, post or the internet. The source of funds of how the payment was made, from where and by whom must always be recorded to provide an audit trail. However, for higher risk products, accounts or customers, additional steps should be taken to ascertain the source of wealth/funds.
- f. For lower-risk accounts or simple investment products such as deposit or savings accounts without cheque-books or automated money transmission facilities, there is an overriding requirement to the identity and address of the customer.

6.0 DOCUMENTING EVIDENCE OF IDENTITY

In order to guard against forged or counterfeit-documents, care should be taken to ensure that documents offered are originals. Copies that are dated and signed ‘original sighted by me’ by a senior public servant or equivalent in a reputable private organization could be accepted in the interim, pending presentation of the original documents within six (6) months.

7.0 IDENTIFICATION PROCEDURES - GENERAL PRINCIPLES

- (a) The bank shall ensure that it is dealing with a “real” person or organization (natural or business entity) by obtaining sufficient identification evidence.
- (b) The requirement in all cases is to obtain satisfactory evidence that a person of that name lives at the address given and that the applicant is that person or that the company has identifiable owners and that its representatives can be located at the address provided. (c) No single form of identification can be fully guaranteed as genuine or representing correct identity; the identification process shall therefore be cumulative.

(d) The procedures adopted to verify the identity of private individuals and whether or not identification was done face to face or remotely are required to be stated in the customer's file by the branch. The reasonable steps taken to avoid single, multiple fictitious applications, impersonation or fraud are required to be stated also by the branch.

(e) An introduction from a respected customer, a person personally known to a Director or Manager or a member of staff often provides comfort but must not replace the need for identification evidence requirements to be complied with as set out in the Guideline. Details of the person who initiated and authorized the introduction shall be kept in the customer's mandate file along with other records. It is therefore mandatory that Directors/Senior Managers must insist on following the prescribed identification procedures for every applicant.

8.0 NEW BUSINESS FOR EXISTING CUSTOMERS

(a) When an existing customer closes one account and opens another or enters into a new agreement to purchase products or services, there is no need to verify the identity or address for such a customer unless the name or the address provided does not tally with the information in the bank's records. However, procedures shall be put in place to guard against impersonation or fraud. The opportunity of opening the new account shall also be taken to ask the customer to confirm the relevant details and to provide any missing KYC information. This is particularly important:

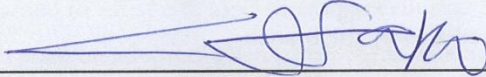
- i. if there was an existing business relationship with the customer and identification evidence had not previously been obtained; or
- ii. if there had been no recent contact or correspondence with the customer within the past twelve (12) months; or
- iii. when a previously dormant account is re-activated.

(b) In the circumstances above, details of the previous account(s) and any identification evidence previously obtained or any introduction records should be linked to the new account-records and retained for the prescribed period in accordance with the provision of the Guideline.

Approved by:



Chairman, BOD



RAC Chairman



Chief Executive Officer

EFFECTIVE DATE 02/12/2023